SOURCES OF CAPITAL

- Capital: any form of wealth employed to produce more wealth

TYPES

1. **Fixed capital**: to purchase a company's permanent or fixed assets such as land, buildings, computers, and equipment.
2. **Working capital:** to support a business's short-term operations.
3. **Growth capital**: to finance a company's growth or its expansion in a new direction

Sources of Capital: equity-based and/or debt-based.

- Equity capital: represents the personal investment of the owner (s) of a company
- Debt capital: financing that a small business owner has borrowed and must repay with interest.

Equity as a source of Capital

Equity capital represents the personal investment of the owner (or owners) in a business and is sometimes called risk capital because these investors assume the primary risk of losing their funds if the business fails. However, if a venture succeeds, founders and investors share in the benefits, which can be quite substantial e.g Yahoo, Intel, and Microsoft

There are 3 types of equity for funding operations: Public Equity, External Private Equity and Internal Equity.

Public equity or securities include issuing of shares to the public. The stakes are high, the reporting and regulatory requirements are higher.

External private equity is capital raised from angels, Venture Capitalists and institutional private equity. These forms of capital ideally come with business advisory support because the cost of this capital is high and the investment in keeping these investors informed or integrated is time intensive.

Internal equity is owner's equity or retained earnings that sometimes ends up attached to debt instruments in the form of guarantees. Owners equity constitutes the owners invest money in a business and increases when a business makes profit.

The owners' equity of a business is divided into two types:

- **Invested capital:** This type of owners' equity account records the amounts of money that owners have invested in the business, which could have been many years ago.
- **Retained earnings:** The profit earned by a business over the years that has been retained and not distributed to its owners is accumulated in this account. If all profit had been distributed every year, retained earnings would have a zero balance

Advantage of equity capital

1. It does not have to be repaid like a loan does.

2. Equity investors are entitled to share in the company's earnings (if there are any) and usually to have a voice in the company's future direction.

Disadvantage of equity capital

1. The entrepreneur must give up some of the ownership in the business to outsiders. Giving up control of a company can be disconcerting and dangerous

Entrepreneurs are most likely to give up significant amounts of equity in their businesses in the start-up phase than in any other. To avoid having to give up majority control of their companies early on, entrepreneurs should strive to launch their companies with the smallest amount of money possible.

Sources of equity include:

- Personal savings
- Friends and family members
- Angels
- Partners
- Corporate venture capital
- Public stock sale

Private firms have fewer choices for raising equity capital

- Owner's Equity: Retention of company's earnings
- Venture Capitalist
    - VCs provide equity financing to small and risky businesses in return for a share in ownership of the firm
        - VC ownership is a function of Capital contribution and Financing options available to the business
        - VC provides Managerial and organizational skills and Credibility of venture to potential capital providers

The public firm has more alternatives for raising equity

- **Common Stock**
    - Initial public offerings (IPOs) – raising equity capital publicly for the first time
    - Seasoned equity offerings (SEOs) – subsequent issues of common stock- Common stock issues tend to decline as a means of raising capital as the firm matures
- **Tracking stock**
    - Stock issued against specific assets or portions of the firm
    - May allow investors to buy portions of a firm that have the greatest potential
    - Typically do not provide investors with voting rights
- Warrants

- Provides investors with the option to buy equity at a fixed price in the future in return for paying for the warrants today.
- Can be attractive because there is no immediate financial obligation to firms and no immediate dilution of ownership

DEBT AS A SOURCE OF CAPITAL

Some entrepreneurs who aren't prepared to venture into equity capital take on debt as a necessary element of growth.

Debt capital is when a small business owner has borrowed finances and must repay with interest.

Very few entrepreneurs have adequate personal savings needed to finance the complete start-up costs of a small business; many of them must rely on some form of debt capital to launch their companies.

Advantages

- Cost of debt financing is often lower than that of equity financing.
- In addition, unlike equity financing, debt financing does not require entrepreneurs to dilute their ownership interest in their companies.

Disadvantages

- Lenders of capital are more numerous than investors but small business loans can be difficult to obtain.
- Although borrowed capital allows entrepreneurs to maintain complete ownership of their businesses, it must be carried as a liability on the balance sheet as well as be repaid with interest.
- Because lenders consider small businesses to be greater risks than bigger corporate customers, they require higher interest rates on loans to small companies because of the risk–return tradeoff—the higher the risk, the greater is the return demanded.
- Because of the higher risks associated with providing equity capital to small companies, investors demand greater returns than lenders.
- While there are lenders that offer unsecured loans, typically people secure their debts with receivables or inventory. These capital sources include leases (where the equipment is the collateral), factoring (where loans are secured by the receivables themselves), receivables discounting (also called 'recourse factoring' where the small business still maintains the liability for non-payment) or a Merchant Cash Advance.

People may acquire debts from Commercial banks, Non-banks, State and Local Development Programs and Internal methods of financing

NON BANK SOURCES

- Asset-based lenders
- Vendor financing
- Equipment suppliers
- Commercial finance companies

- Savings and loan associations
- Stock brokerage houses
- Insurance companies
- Credit unions
- Bonds
- Private placements
- Small business investment companies
- Small business lending companies

COMMERCIAL BANKS

BANK DEBT: Borrowing from a bank at an interest rate charged by the bank based on the borrowing firm's perceived risk. Banks may offer short-term loans: Commercial loans, Lines of credit, Intermediate and long-term loans, Installment loan.

Advantages of bank debt (versus bonds):

- Can be issued in small amounts
- Allows firm to maintain proprietary information
- Does not require being rated

The differences between debt and equity lies in the nature of the stakeholders' claims on the firm's cash flows, tax treatment, maturity and voting power

Debt versus Equity

